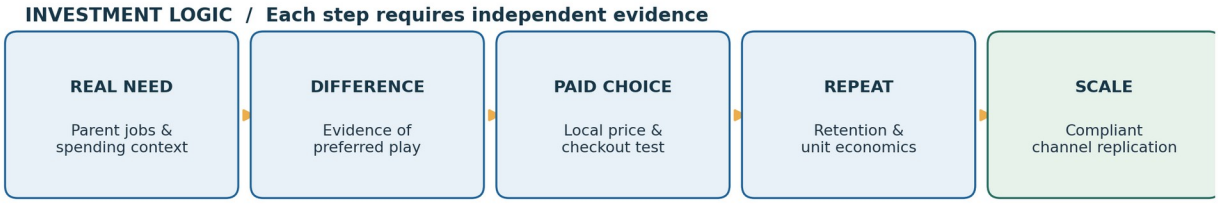
INVESTMENT INTELLIGENCE

Laughing Lumi
The Investment Case

Family play, evidence-led differentiation and a conditional China-first international growth thesis

COMMERCIAL STRATEGY & MARKET RESEARCH · 19 OCTOBER 2026

Prepared for Laughing Lumi management and prospective early-stage investors. Confidential discussion paper; commercial scenarios require validation.



Evidence-based opportunity / Monetization pathway / China market option / Risk-reduction milestones

Executive decision

Investment proposition. Laughing Lumi may have a venture-relevant opening at the intersection of guided family play, purposeful language exposure and trustworthy child-facing interaction. The investable bet is not that any educational AI app will sell; it is that a carefully bounded parent-child experience can win a distinct job-to-be-done, earn repeat household payments and travel across markets through localized content and distribution.

Why the category is plausible. Chinese preschool enrollment demonstrates a large relevant educational population; documented education spending shows families allocate money to early learning; iHuman is a verifiable commercial scale precedent; academic syntheses support selected game-based language outcomes. None establishes Lumi-specific demand, capability, compliance or learning gains [E01–E07].

Why this is not yet an investment-ready growth forecast. The company has not supplied verified paying cohorts, renewal, acquisition costs, a signed China legal category assessment or a reproducible age-matched eligible-household denominator. A historic 500,000 paid-family goal is therefore an upside stress test, not the approved base case.

Recommended decision. Advance a gated validation round only if founders substantiate IP and build status, agree product/age/buyer boundaries, and budget experiments that can test relative value, paid choice and retention. Keep the China market as the first international research priority, but condition commercialization on counsel, child-safety and a legal partner/channel model.

TABLE 01 | Investment claim readiness

Investor question	Current evidence	Next proof	Release status
Is the category worth studying?	Official population, peer-reviewed research, public comparator revenue	Matched target-family segmentation	Supported as hypothesis
Will buyers pay Lumi?	Regional competitor sticker prices only	Adult actual payments, renewals and refunds	Not demonstrated
Can 500k households be reached?	Reverse funnel and mature precedents	Source-by-source acquisition and survival cohorts	Upside scenario only
Can China be entered?	Need signals + operating comparators; hard legal restrictions	Counsel classification and lawful distribution deal	Blocked for launch claim
Is there a moat?	Proposed product design; competitors provide alternatives	Functional comparison, parent preference, safe usage	Not demonstrated

Note. All assessments relate to the information available on the report date. Evidence of a category does not establish demand for an individual product.

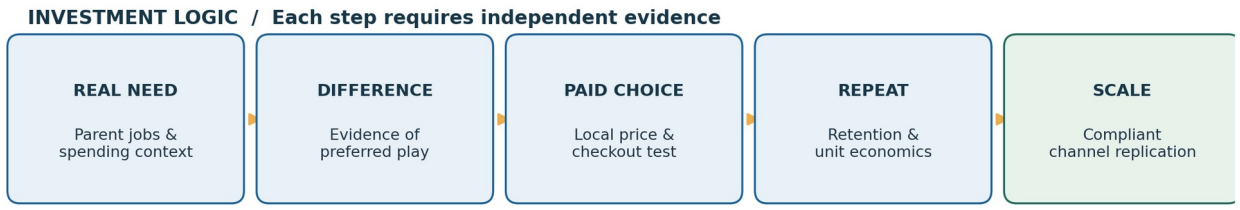


FIGURE 01 | The five-link causal model

Conceptual framework, not measured Lumi performance. Each link is independently testable. Source: Commercial strategy framework; illustrative

1 Research method and proof standard

This study combines official demographic statistics, securities filings, peer-reviewed research, published competitor prices and policy documents to assess the commercial case for Laughing Lumi. Sources are grouped by evidentiary

strength: A, official records and company filings; B, peer-reviewed studies with stated methods; C, seller-published price listings; D, selected commercial surveys and market commentary; and H, proposed assumptions or illustrative scenarios. The review is targeted rather than systematic. Its forward-looking calculations are not a company forecast or legal opinion.

Every quantitative figure is labeled by **population unit, geography, year, currency, source and interpretation boundary**. Charts showing historical comparator outcomes are separated from models using arbitrary conversion, retention and CAC assumptions. The source register in Appendix A enumerates evidence IDs; the calculation register in Appendix B makes stress tests reproducible.

TABLE 02 | Evidence-quality rubric

Proof class	Example	Permitted inference	Prohibited inference
A | Official/company filed	China 2025 preschool count, iHuman SEC results	Scale of adjacent populations/businesses	Number of Lumi buyers
B | Research evidence	Meta-analysis; Chinese parent app study	Mechanism merits controlled testing	Product learning efficacy
C | Seller SKU	Lingokids, Hongen local listings	Published competing price offers	Observed family WTP or ARPU
D | Selected survey	iiMedia early-ed respondent percentage	Signal among surveyed early-ed users	China-wide parent prevalence
H | Hypothesis/model	€99 proposed tariff; 60% survival	Sensitivity and test design	Recorded bookings or traction

Note. Published company claims and advertised prices are useful market observations, but they should not be interpreted as independently measured consumer behavior.

2 Why households could care—and pay

2.1 Education budgets and a large relevant population

The Chinese Ministry of Education reported **32.2552 million children enrolled in preschool education and 231,900 kindergartens in 2025** [E01]. Peking University's China Institute for Educational Finance Research reported **RMB 7,826** in average family educational expenditure per preschool child during the 2022–2023 school year [E02]. These numbers demonstrate institutional scale and a real household education-spending category. The expenditure measure contains broader outlays, often tuition, and does not tell us what a family would spend on another mobile subscription.

A selected iiMedia 2025 early-education-user survey reported **49.45%** participation in English-course offerings among the surveyed user group [E03]. Sampling/frame limitations prevent its interpretation as the share of Chinese parents interested in Lumi. It is a direction-of-demand signal only. The narrower question is whether caregivers would replace or supplement one existing activity with short supervised English-through-play.

2.2 The job-to-be-done is a proposition to discover

The proposed customer job is: **"Give my child a safe, engaging ten-minute shared activity that uses language naturally without feeling like another formal lesson."** This proposition competes simultaneously with free digital content, paid apps, books, tutoring, television and physical play. A meaningful customer discovery protocol must record what was actually replaced, the adult effort required and whether the family returns—not merely favorable feedback on an animated mascot.

Research with Chinese preschool English-app users supports taking caregiver participation seriously. Bang and Mackey (2025) analyzed a Chinese preschool context involving 66 recruited young learners and caregivers (63 retained for reported analysis); family involvement appeared relevant to app-mediated activity [E06]. It does not measure Lumi adoption or national willingness to pay.

2.3 Counterevidence improves the investment case

Families might reject AI speech, dislike screen-based prompts, prefer free services or find parent-assisted play labor-intensive. Thus the report defines a narrower initial customer: **adult decision-makers already using or comparing paid children's apps and actively seeking shorter purposeful home activities**. This segment remains a recruitment hypothesis. A pilot should oversample dissatisfied former paid-app users as well as enthusiastic ones, and record reasons for refusing an offer.

TABLE 03 | Demand evidence without denominator inflation

Market signal	Observed datum	Correct denominator	Investor interpretation
China preschool enrollment	32.2552m in 2025	Enrolled children	Relevant category size; not family TAM
China preschool education outlays	¥7,826 per preschool child	Family educational spending, school year 2022–23	Category budget, not app subscription budget
English course preference	49.45% selected early-ed users	Commercial survey respondents already in early education	Demand clue, nonrepresentative for all parents
Learning research	38 studies; N=4,102; g=.962	Mixed language-learning study samples	Educational mechanism plausible; not product efficacy

Note. Sources [E01], [E02], [E03], [E07]. "Enrolled children" and "households" are different population units.

3 Competitive gap: value, not feature checkmarks

The category already includes substantial substitutes. Khan Academy Kids advertises a free family learning app, while paid offerings such as Lingokids and Hongen provide content, subscriptions and parent-facing descriptions [E08–E11]. Tan, Djonov and Chik (2026) found differing learning goals in iHuman ABC and Khan Academy Kids; the peer-reviewed paper analyzed apps, reviews and interviews with ten English teachers, not commercial buyer shares [E09]. The defensible gap is therefore a **testable experience bundle**, not a claim that competitors lack AI, safety, phonics, creativity or real-world interaction.

Lumi should test the bundle "character-led bounded speech + short physical/imaginative task + caregiver control + clear evidence of completion." A comparison study must check exactly which features are live on each competitor and in Lumi. Uninspected functionality is UNKNOWN, not absent.

TABLE 04 | Comparable jobs-to-be-done—not fabricated competitor deficits

Offer / substitute	Verified published proposition	Possible Lumi contrast	What still requires proof
Khan Academy Kids	Free home early learning activities [E08]	More physical guided co-play	Parents paying despite free substitute
Lingokids	Paid child content; regional subscription SKUs [E10]	Caregiver-led real-world interactions	Like-for-like function and actual preference
Hongen English	Chinese English-themed paid content [E11]	Play-first activity outside fixed lesson flow	Feature parity, lawful age-classification
iHuman ABC	Examined in 2026 peer-reviewed case study [E09]	Potentially different child-choice structure	Observed matched-task user preference
Offline books/play	Flexible, often low-tech family activities	Convenient prompts and continuity	Lower adult effort and incremental value
Laughing Lumi	Proposed concept; implementation unverified	Bounded speech + movement + co-play	Working build, safety and behavioral evidence

Note. Published materials and research describe offer categories; this table does not certify feature absence.

4 Educational mechanism: plausible with substantial heterogeneity

Liu, Zhang and Dai (2025) synthesized **38 (quasi-)experimental mobile-game language-learning studies involving 4,102 participants**, reporting a pooled **Hedges' g = 0.962** (95% CI 0.688–1.235). Heterogeneity was very high (**I^2 = 92.68%**), effects differed by age group and learning outcome, and older students generally showed larger effects than preschoolers [E07]. This evidence justifies testing gamified language encounters but cannot be presented as a forecast effect size for Lumi.

The educational proposition requires three distinct foundations: (a) evidence from the literature on meaningful activities, language exposure and caregiver participation; (b) a functioning, developmentally suitable experience with demonstrable safety controls; and (c) measured outcomes against an appropriate comparison condition. Any efficacy study would require guardian consent, age and language stratification, reliable human scoring and predefined safeguarding criteria.

UNICEF's 2025 Guidance on AI and Children (Version 3.0) emphasizes child safety, privacy, non-discrimination, explainability and accountability [E12]. Lumi must translate these requirements into operational controls and independent negative tests before representing any child-facing speech experience as safe.

5 Pricing: reference architecture versus willingness to pay

5.1 European annual anchor

The Finnish Apple storefront lists **Lingokids Plus Yearly Membership €107.99**, while the Spanish storefront lists **€89.99** [E10]. Lumi's founder-proposed **€99/year** therefore lies between these two public SKU observations: **€8.99 below** the Finland figure and **€9.01 above** Spain. In nominal monthly terms the proposed annual fee is **€8.25/month**. These are meaningful pricing reference points—not proof of equivalence in content, tax treatment, conversion or renewal.

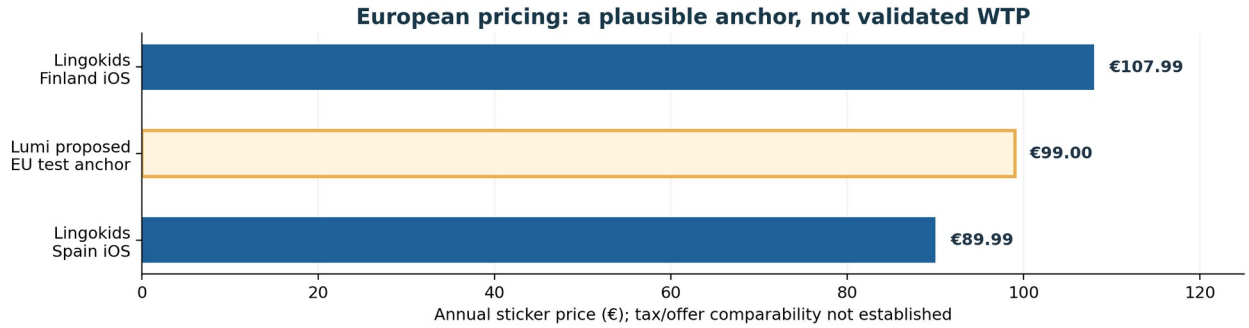


FIGURE 02 | Observed European SKU comparison plus Lumi hypothesis

Solid blue bars: regional vendor-published SKUs. Pale gold bar: founder hypothesis. Different entitlements/discounts may apply. Source: [E10]; Lumi proposed pricing

5.2 Separate Chinese value proposition and RMB pricing

The China iOS listing for 洪恩英语 identifies **¥268/year** as one annual membership SKU [E11]. The same verified Hongen English listing also offers a **¥398 one-year primary-school course SKU**, which is a different package and not a preschool like-for-like comparator; ¥498 is a proposed research stimulus, not a competitor tariff. An English-through-play product cannot defensibly launch at a simple converted €99 price without local paid-choice testing, legal feasibility and package comparability.

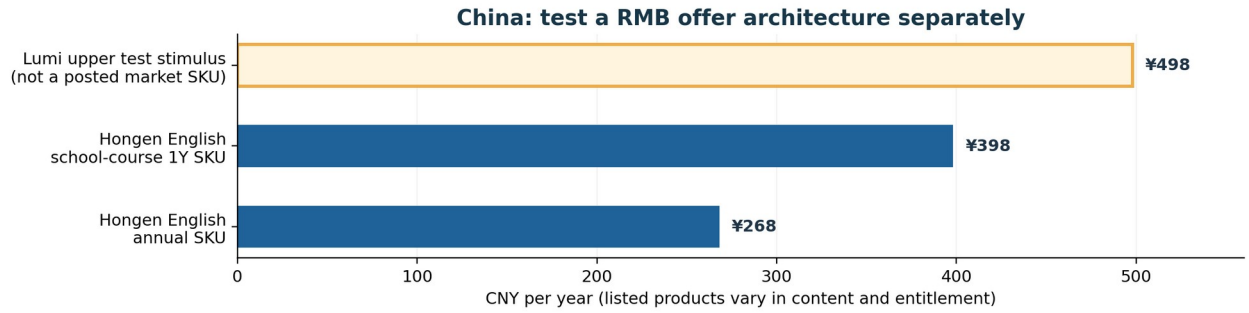


FIGURE 03 | Chinese annual SKU observations and proposed upper price test

Blue: two published Hongen English purchase SKUs with different entitlements (one primary-course package). Gold outline: unvalidated Lumi research stimulus. Do not compare RMB bar values directly with euros. Source: [E11] and stated price-testing assumptions

A valid pricing test compares a clear free alternative, monthly and annual offers, a family entitlement and **"none of these"**. Comprehension should precede randomized price exposure. Buyers must understand exactly what is included, adult supervision needs, cancellation terms and data handling. A stated survey choice is not a completed purchase; small legal adult-paid pilots are more informative, and renewal is stronger evidence still.

TABLE 05 | The minimum pricing evidence required before financial sign-off

Price question	Current justification	Missing proof / decision
Why €99 in Europe?	Bracketed by two Lingokids region-specific annual SKUs	Blind package comparison, paid adult checkout and trial-to-purchase
Why local RMB?	Chinese app SKU architecture clearly exists	Target-income segment and local price/entitlement matching
What about free?	Khan Academy Kids is free for families	Price premium for incremental outcome, convenience or trust
What about retention?	No observed Lumi renewal data	Paid 30/90-day and annual cohort survival by country
Can subscription be profitable?	Gross sticker prices only	Fees, VAT, refunds, support and AI usage costs

Note. Net contribution and cash conversion must account for country-specific taxes, platform fees, refunds, service costs and the billing cycle. No Lumi willingness-to-pay evidence is yet available.

6 Commercial precedents: a balanced case-study reading

iHuman is the best available China category precedent and warning. Its SEC-filed 2025 revenue was **RMB 807.0 million** versus **RMB 922.2 million** in 2024; average monthly active devices declined from **26.47 million** to **24.98 million** [E04]. Reported revenue declined **12.5%** and reported average MAUs declined **5.6%**. The figures demonstrate commercial scale but also demographic pressure and category risk. iHuman includes multiple product and revenue lines, so dividing revenue by MAUs would not yield a valid subscription ARPU.

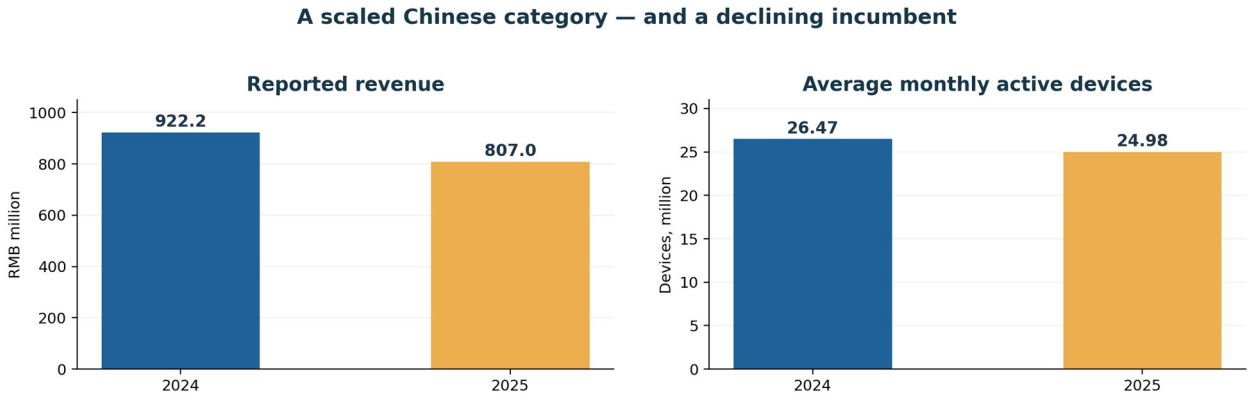


FIGURE 04 | iHuman annual revenue and device-MAU performance

Two separate y-axes and units. Both panels are reported historic company statistics; no Lumi performance is depicted. Source: iHuman 2025 Form 20-F / 2025 earnings release [E04]

Duolingo is a distribution architecture precedent, not an age-comparable conversion benchmark. Its 2025 Form 10-K reported **12.2 million year-end paid subscribers**, and paid subscribers equaled **9.2% of average monthly active users** over the year. Duolingo's audience, brand maturity, mission and freemium use patterns differ substantially from a preschool family product [E05]. The transferable question is whether a useful free mode plus repeated engagement and experimentation can reduce family acquisition cost.

Khan Academy Kids is the strongest free-substitution warning. Its published home offer is free for families, creating a high bar for subscriptions whose only selling point is "educational" [E08]. Parent agency, bounded voice experiences or off-screen activities could matter, but only a same-task offer test can show whether they matter enough to fund repeat purchases.

TABLE 06 | Commercial analogies and their limits

Comparable	Hard evidence	Potentially transferable	Not transferable
iHuman	¥807m FY2025 revenue; 24.98m avg monthly active devices	Category demand and local content packaging	Lumi conversion, payer ARPU, paid families
Duolingo	12.2m subscribers at YE 2025; 9.2% of avg MAUs	Freemium, habit, experimentation	Preschool conversion or retention rate
Lingokids	Region-specific posted annual SKU	Family packaging and price framing	Actual platform collections or Lumi WTP
Khan Academy Kids	Free home learning product	Free product alternative and value hurdle	Proof families will subscribe instead
Chinese English apps	Multiple packages and learning approaches	Local currency and category-specific UX	Lumi product clearance or educational advantage

Note. Positive anecdotes must be accompanied by the denominator and business model differences.

7 Rebuilding the 500,000-household growth argument

7.1 Reverse funnel: start from required paying households

At a hypothetical paid conversion of 3%, **500,000 new paid households require 16.67 million qualified household exposures**. At 5%, **10.0 million**; at 10%, **5.0 million**. All figures are hypothetical one-pass ratios and exclude repeat exposures, household de-duplication, attrition, cohort timing, legal exclusion and paid-channel reach. They are sensitivity tests, not company observations.

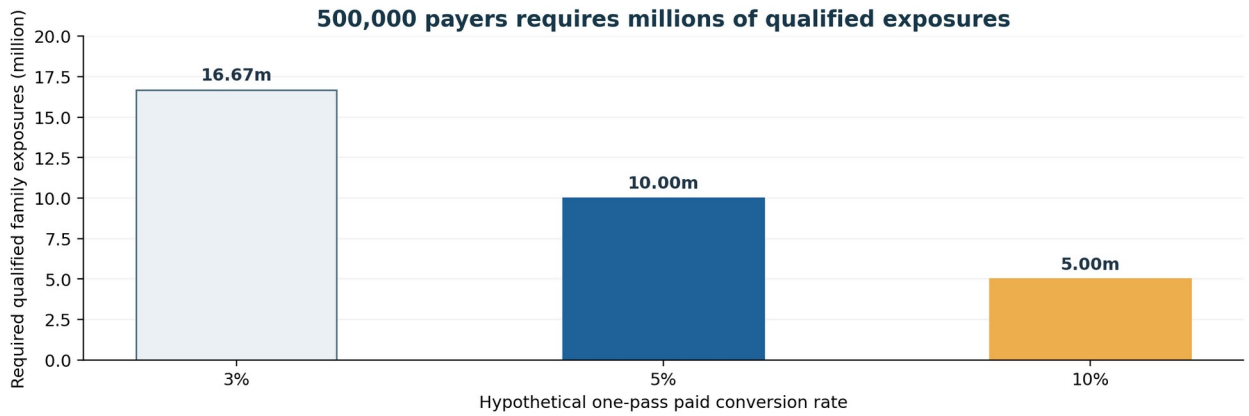


FIGURE 05 | Required qualified exposures for 500,000 paid households

Assumes exactly 500,000 distinct first-time payments and one qualified exposure per household. All conversion inputs are hypothetical. Source: Scenario calculations; no observed Lumi acquisition data

7.2 Five-year upside is a stress test, not a base forecast

An ambitious five-year illustration considers an active paying-family path of 2,000 → 15,000 → 65,000 → 200,000 → 500,000. Assuming—solely for the illustration—**60% of the prior year-end active paying family cohort remains active one year later**, the implied new paying households would be 2,000; 13,800; 56,000; 161,000; and **380,000**. That final year at hypothetical 5% paid conversion implies **7.6 million qualified adult family exposures** in that year alone, before any channel capacity or duplicate adjustments.

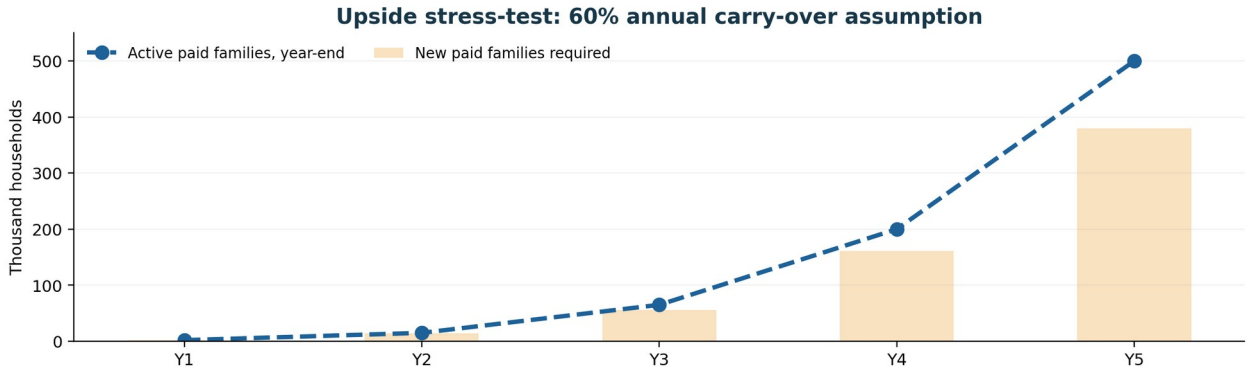


FIGURE 06 | Year-end active paid families and required acquisition

The 60% carry-over is assumed, not empirical Lumi renewal. "Active paid" must be defined consistently with billing cycles and refunds. Source: Illustrative growth model; see Table 07

TABLE 07 | A reproducible 60%-retention growth illustration

Year	Active paid households (goal)	Assumed carried-over	New payers required	Exposures at 5%
Y1	2,000	0	2,000	40,000
Y2	15,000	1,200	13,800	276,000
Y3	65,000	9,000	56,000	1,120,000
Y4	200,000	39,000	161,000	3,220,000
Y5	500,000	120,000	380,000	7,600,000

Note. Pure scenario. "Exposures" are qualified distinct adults assumed to convert at 5%; real funnel definitions, cohorts, channel capacities and overlap are unknown.

At year five, **380,000 new payers × €20 hypothetical CAC = €7.6 million acquisition spend**; at **€50 CAC = €19.0 million**. This excludes support, product maintenance, speech-model usage, taxes, refunds and other costs. These CACs are arbitrary stress inputs. A claimed €250,000 raise cannot directly buy a year-five acquisition machine under either assumption; reaching those quantities requires proven referrals, distribution partners, reinvested cash or future financing.

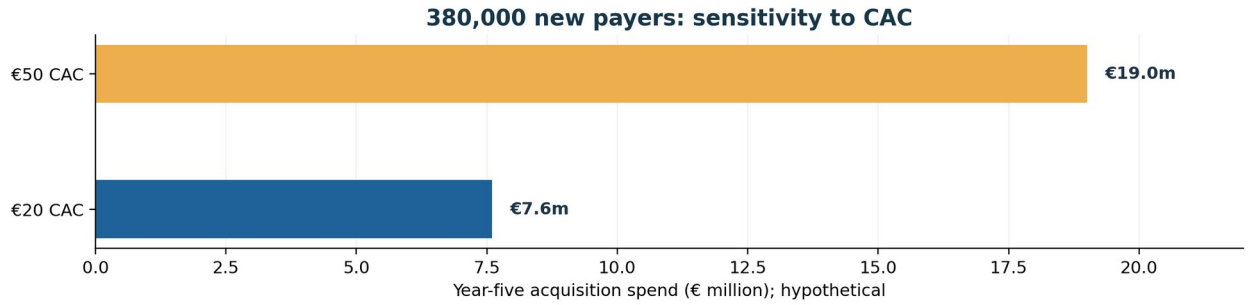


FIGURE 07 | Year-five acquisition spend for two assumed CACs

Calculated from 380,000 hypothetical new paying families; use local-currency CAC in any actual country forecast. Source: Sensitivity analysis; not observed expenditure

7.3 Annual billing and market-specific revenue must remain separate

500,000 × €99 = €49.5 million is theoretical gross annual invoicing only if every family receives the identical annual tariff with no discount or refund. It is neither recognized revenue nor ARR by default. As an illustrative two-market mix, **150,000 European subscriptions × €99 = €14.85 million in gross euro billings** and **350,000 Chinese subscriptions × ¥268 = ¥93.8 million in gross renminbi billings**. These amounts must be reported separately until a dated FX assumption, tax, refunds, billing and deferred-revenue treatment are introduced in the financial model. The mix is arbitrary; it does not describe approved product availability or China readiness.

TABLE 08 | Why one global "€50m ARR" claim is methodologically unsound

Illustrative paid-family mix	Paying families	Local annual offer	Gross annual invoice volume
Europe-only stress	500,000	€99 proposed	€49.50m gross EUR
Split Europe component	150,000	€99 proposed	€14.85m gross EUR
Split China component	350,000	¥268 vendor-referenced test	¥93.80m gross CNY

Note. Rows are alternative hypothetical mixes, not additive. China component is a non-approved offer and legally conditional. Do not equate invoicing, recognized revenue or cash.

7.4 Real growth gates and falsification

The credible path begins with evidence, not a year-five chart. Suggested milestone sequence: **first 100 paid adult households → 1,000 payers from at least two acquisition channels → 10,000 retained households with measured contribution margin → 100,000 repeatable multi-channel subscribers → conditional 500,000-upside**. Each step must be blocked if paid retention, negative safety tests, margin or legal distribution fail.

8 China as the first internationalization research priority

8.1 Market attractiveness

China has a substantial preschool enrollment base, publicly visible children's English and reading packages, and an established child-content company with meaningful historical revenue. It is therefore a serious research priority, particularly for a Chinese-language parent-facing offering linked to playful English exposure. However, English-through-play must be designed as a **product difference grounded in age, L1/L2 needs, caregiver behavior, content rights and safety**, not as a generic English tutor translated from Finland.

8.2 Regulation is a gating variable in the revenue model

China's July 2021 Double-Reduction policy explicitly prohibits **online training directed at preschool-aged children** and prohibits offline academic training for that group, including foreign languages [E13]. The exact classification of a proposed character-led interactive language/play app therefore requires written local legal analysis; the label "play" is not a regulatory exemption. The 2023 interim rules for generative AI introduce further obligations for services provided to the public [E14]. Child personal-information and voice-processing compliance require separate analysis. **No mainland-China launch, payment funnel or revenue is approved in the base case before clearance.**

8.3 Entry alternatives and option value

TABLE 09 | China market-entry option matrix

Strategic route	Upside	Critical gate	Current decision
Direct child-English app launch	Potential direct paid B2C scale	Preschool training classification, app/content/AI/child-data compliance	Do not assume feasible
Local distribution/content partner	Channel know-how and local adaptation	Verified partner rights, due diligence, compliant operations	Research + negotiate only
Adult parent concept research	Fast need/pricing discovery without child-data processing	Valid adult consent and truthful offer descriptions	Priority near-term
Older-age/later-stage L2 design	Different legal and developmental user segment	Founder age decision + pedagogical/legal revision	Conditional alternative
Postpone China commercialization	Protects cash/IP and regulatory runway	Europe adult-paid product validation	Default fallback

Note. None of these routes is presented as legally approved. Local counsel should review classification, licensing and child-data requirements before commercial operations.

China can be the **first dedicated international research and partner-development market**, while Finland/Nordic or other permitted European markets validate the product and payment architecture. Formal commercialization should occur where lawful distribution, verified buyer demand and sufficient localized economics align; there is no requirement to force the earliest revenue launch into the most complex regulatory jurisdiction.

9 Distribution, acquisition and retention experiments

Early distribution should rely on adult-facing opportunities that can be instrumented: caregiver opt-in communities, parent-oriented creators, verified family content referrals and institutions only where procurement/recruitment permissions exist. Each channel needs tagged unique adult household acquisition, country, plan, paid purchase, 30/90-day repeat use and true refund/cancellation outcomes. Do not recruit children into a promotional experiment.

TABLE 10 | Product–market validation experiment register

Experiment	Buyer-facing question	Primary event	Go / stop criteria (to pre-register)
Competitor same-task test	Why choose Lumi over free/paid alternatives?	Independent paid offer preference	Meaningful value difference; otherwise revise concept
EU €99 choice	Will a clear annual package sell?	Valid adult checkout	Paid conversion & post-refund economics
China adult interview	Would English-play replace a current option?	Adult stated substitutions	Strong problem and legal feasibility before build
Adult-only staging	Is speech and content bounded?	Observed pass/fail safety tests	No child rollout on unresolved critical failures
Retention cohort	Does a family return and renew?	30/90-day survival; annual renewal	Scale only if contribution is positive
Partner pilot	Can a verified channel deliver households?	Paid households per actual channel cost	Repeatable compliant channel economics

Note. Explicit numeric pass/fail thresholds must be founder-approved and statistically or operationally justified before conducting experiments.

10 What a pre-seed investment actually buys

The most compelling ask is **capital that removes defined risks in sequence**, rather than funding an unqualified leap from child population to 500,000 subscribers. An earlier €250,000 planning figure is illustrative and not a confirmed financing target. The budget should be milestone-based, quote-supported and include people, localization, product safety, parent research, AI/cloud usage, legal/rights work, and contingency. The same cost may be co-financed or staged across investors, but funding applications and uncertain grants cannot be booked as committed cash.

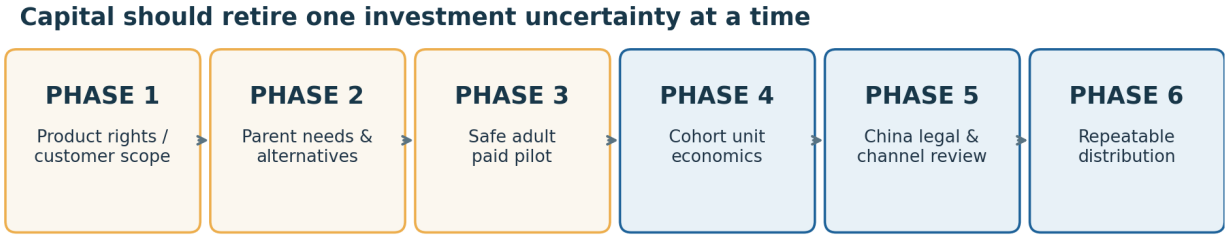


FIGURE 08 | Capital deployment linked to increasingly strong evidence

A conceptual risk-reduction sequence. Workstreams can overlap only where legal and safety prerequisites permit; budget allocations require a separate costed financial plan. Source: Illustrative milestone-based investment plan

TABLE 11 | Funding deployment must be a risk-reduction budget

Phase	Evidence created	Finance work needed	Investment relevance
Phase 1 — Product and rights	Entity, IP licenses, build status, age/buyer	Actual committed cash and team payroll	Accurate company baseline
Phase 2 — Parent value	Recruitment, same-task interviews, refusal reasons	Verified research/translation cost	Customer-need hypothesis
Phase 3 — Safe paid offer	Approved adult checkout and regional price tests	Platform/tax/refunds/cloud cost per paid unit	Observed, small-cohort WTP
Phase 4 — Cohort economics	Repeat use and renewal; safety negative tests	CAC, contribution, cash, runway tie-outs	Cohort-based investment case
Phase 5 — China option	Written Chinese counsel opinion; partner terms	Localization, hosting, legal and channel cash costs	Conditional expansion claim
Phase 6 — Replication	Second repeatable channel and market	Evidence-based scale capital budget	Qualified venture growth story

Note. Costs and timing should be confirmed through supplier quotations, personnel plans and an integrated cash-flow model; no unsupported amounts are assigned here.

11 Investment objections: answer with evidence, not assurance

TABLE 12 | Investor challenge-and-answer matrix

Likely investor objection	Evidence-based response	Honest boundary
“Why not free Khan Academy Kids?”	Differentiate a specific ten-minute physical/co-play job in matched choice testing	No preference gap yet demonstrated
“Why would €99 work?”	Within two observed Lingokids iOS annual SKUs	Not observed Lumi WTP; no gross-to-net margin
“Why 500k paid households?”	Scale is mathematically possible with sufficient exposures	No proof of acquisition/renewal/CAC
“Why China first?”	Evidence of local educational spending and scaled child-content firms	Child-English training restrictions require counsel
“Why now, and why this team?”	Design/research capability can execute disciplined product evidence	Company/IP and active build must be verified
“Why fund €250k now?”	Potentially retires parent-value, safe product, paid-choice and channel uncertainty	Funding amount and cost plan require management approval

Note. Responses summarize the strength and limits of available evidence; they do not substitute for commercial performance data.

12 Falsification rules and decision recommendation

A coherent venture thesis must identify what could make it wrong. **Stop or re-scope** if (i) parents prefer free alternatives after equivalent task exposure, (ii) adult effort is a stronger disincentive than the intended benefit, (iii) child-speech safety cannot be verified, (iv) legal counsel finds the China concept impermissible on feasible operating terms, (v) actual post-refund contribution per cohort fails to cover acquisition and operations, or (vi) rights to the underlying software/content cannot be established.

Recommended sequencing: (1) secure truth/IP and founder-defined scope; (2) compare free/paid substitutes and investigate actual purchase choices with adults; (3) validate a safe, bounded product and true retention; (4) run country-specific unit economics; (5) pursue a Chinese legal and partner option only upon affirmative clearance. The case for investing is the option to create validated, replicable family value; the case against immediate scale is the current absence of that proof.

13 Execution priorities and management responsibilities

A disciplined path to commercialization requires coordinated delivery across research, product development, finance and legal affairs. The responsibilities below are proposed management workstreams rather than claims about existing staff positions or completed deliverables.

TABLE 13 | Proposed operating workstreams and commercial decisions

Workstream	Near-term priority	Decision supported
Customer and market research	Conduct matched free/paid product comparisons, parent interviews and country-specific purchase experiments	Which family segments perceive enough value to pay?
Product and child safety	Verify core activity flows, bounded conversation, age-appropriate instructions and failure handling	Can the experience be offered safely and consistently?
Finance and operations	Cost people, providers, support, taxes and country/plan subscription cohorts	Do actual contribution and cash economics support acquisition?
China legal and partnerships	Obtain product-classification advice and investigate credible local partners and channels	Is the China entry option lawfully and economically exercisable?
Management and investor relations	Confirm IP ownership, company resources, financing scope and disclosure substantiation	What can be represented and financed responsibly?

Note. A named accountable owner, timeline and approved budget should be assigned to each workstream before launch or fundraising commitments.

Appendix A Evidence register and source URLs

The references below identify the principal public sources used in this assessment. Publication dates refer to source release or filing years. App Store price listings are time-specific observations and may change by market, platform, offer or account.

E01 Ministry of Education, PRC (2026, July 6). 2025 national education development statistical communiqué. https://www.moe.gov.cn/jyb_sjzl/sjzl_fztjgb/202607/t20260706_1442870.html

E02 Wei, Y. / Peking University CIEFR (2025, November 14). Introduction to China Family Education Expenditure Survey (2023). https://ciefr.pku.edu.cn/cbw/kyjb/a37a4205a30347df921e9014b9c33bde.htm

E03 iiMedia Research (2025, June 17). 2025 China infant early education user-behavior survey. https://tech.iimedia.cn/c400/106339.html

E04 iHuman Inc. (2026). FY2025 Form 20-F; reported 2024/25 results. https://www.sec.gov/Archives/edgar/data/1814423/000110465926048541/ih-20251231x20f.htm

E05 Duolingo, Inc. (2026). Form 10-K for the year ended December 31, 2025. https://www.sec.gov/Archives/edgar/data/1562088/000162828026012494/duol-20251231.htm

E06 Bang, H. J., & Mackey, A. (2025). Chinese parents' involvement in their young children's app-based language learning. Language Teaching for Young Learners, 7(1), 106–130. https://doi.org/10.1075/ltyl.00052.ban

E07 Liu, S., Zhang, S., & Dai, Y. (2025). Do mobile games improve language learning? A meta-analysis. Computer Assisted Language Learning. https://doi.org/10.1080/09588221.2025.2528786

E08 Khan Academy (n.d.). Khan Academy Kids pricing: free for families. https://www.khanacademy.org/kids/pricing

E09 Tan, R., Djonov, E., & Chik, A. (2026). Evaluating English learning apps for Chinese preschoolers: A multimodal case study. TESOL Quarterly, 60(1), 291–320. https://doi.org/10.1002/tesq.70036

E10 Apple Inc. (2026 storefront). Lingokids Plus Yearly Membership in Finland and Spain Apple App Store catalogs. https://apps.apple.com/fi/app/lingokids-games-shows/id1002043426 ; https://apps.apple.com/es/app/lingokids-juegos-en-ingl%C3%A9s/id1002043426

E11 Apple Inc. (2026 storefront). Hongen English (洪恩英语) China App Store in-app purchase catalog. https://apps.apple.com/cn/app/id1176835541

E12 UNICEF Innocenti (2025). Guidance on AI and children, Version 3.0. https://www.unicef.org/innocenti/reports/policy-guidance-ai-children

E13 Ministry of Education, PRC (2021, July 24). Double-Reduction education/tutoring policy. https://www.moe.gov.cn/jyb_xxgk/moe_1777/moe_1778/202107/t20210724_546576.html

E14 Cyberspace Administration of China et al. (2023). Interim measures on generative artificial intelligence services. https://www.cac.gov.cn/2023-07/13/c_1690898327029107.htm

E15 National Bureau of Statistics of China (2026, May 22). 2025 national 1% population sample survey communiqué. https://www.stats.gov.cn/english/PressRelease/202605/t20260522_1963789.html

Appendix B Model formula checks and assumptions

TABLE 14 | Reproducible computational checks

Calculation	Formula	Result	Data status
500k paid at 3% conversion	500,000 ÷ 0.03	16.67m qualified exposures	Scenario
500k paid at 5% conversion	500,000 ÷ 0.05	10.00m qualified exposures	Scenario
500k paid at 10% conversion	500,000 ÷ 0.10	5.00m qualified exposures	Scenario
Y5 net acquisitions needed	500,000 − (200,000 × 0.60)	380,000 new payers	Scenario
Y5 acquired exposures at 5%	380,000 ÷ 0.05	7.60m qualified exposures	Scenario
CAC stress low	380,000 × €20	€7.60m spend	Scenario
CAC stress high	380,000 × €50	€19.00m spend	Scenario
Uniform €99 annual invoice	500,000 × €99	€49.50m gross invoices	Scenario
Mixed EU invoice	150,000 × €99	€14.85m EUR invoices	Scenario
Mixed CN invoice	350,000 × ¥268	¥93.80m CNY invoices	Scenario

Note. These inputs are not Lumi measurements. Fiscal treatment, country mix, seasonality, cash settlement, churn modeling and conversion eligibility remain unverified.

Appendix C Outstanding questions for due diligence

- **Company and rights.** Confirm the legal entity, ownership or licences for software, content, character artwork and data, and the resources available to fund development.
- **Target customer.** Define the child age group, adult decision-maker, initial use case and product scope; these choices determine the valid addressable-household denominator.
- **Customer demand.** Undertake independent adult parent research and a comparison of paid and free alternatives; no observed Lumi purchase or renewal dataset has been established.
- **Product readiness.** Demonstrate the current working build, age-suitable dialogues, speech-recognition reliability and failure containment before any child-facing testing.
- **Unit economics.** Establish country-specific prices, real acquisition costs, tax/fees, AI usage, refunds and cohort survival before issuing a revenue or runway forecast.
- **China operations.** Obtain written analysis of education/product classification, distribution, generative-AI obligations and children's information requirements, alongside commercial channel diligence.
- **Funding terms.** Align any proposed financing amount with a costed delivery plan, working-capital requirements and clearly defined investment milestones.

Scope and limitations. This assessment presents a commercial investment thesis and identifies its evidentiary limitations. It does not constitute a securities offering, audited forecast or legal opinion. Material business claims require management substantiation, product and safety results require direct testing, and market-entry conclusions require qualified local counsel.